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Case Number: 26STCV06749 Hearing Date: July 27, 2026 Dept: 510

No.

9 - Philip Sanchez v. City National Bank, et al.

Defendants

City National Bank, Royal Bank of Canada, and Paul Woodmansee's Motion to Compel Arbitration

Defendants

City National Bank, Royal Bank of Canada, and Paul Woodmansee (collectively "Defendants") move to compel arbitration of this action brought against them by Plaintiff Philip Sanchez.

Request

for Judicial Notice

Defendants

request the Court take judicial notice of nine trial court rulings on other motions to compel arbitration. These documents are not relevant or necessary to the Court's analysis and have no precedential value.

Defendants' request for judicial notice is denied.

Evidentiary

Objections

Plaintiff makes 19 objections to Defendants' evidence. Objection nos. 17-18 are sustained. The remaining objections

are overruled.

Defendants make several evidentiary objections to the evidence submitted by Plaintiff. The objections are not numbered consecutively. As such, the objections are overruled.

Existence
of Agreement

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (CCP § 1281.2.) It can meet the “initial burden to show an agreement to arbitrate by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature.” (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) “At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in’ ” California Rules of Court, rule 3.1330. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.)

Here,
Defendants meet their initial burden by attaching a copy of the arbitration agreement. (*Gutierrez, Jr., Decl., Ex. F.*) While the agreement itself is not signed, the arbitration agreement was clearly identified on an acknowledgement page in a Code of Conduct training module. That acknowledgment states:

Read and complete the acknowledgment regarding (1) the RBC Code of Conduct; (2) the CNB Colleague Handbook; and (3) the Arbitration Agreement (Mutual Agreement for Arbitration of Disputes) below.

Agreement to Arbitrate Disputes. I hereby reaffirm that I have read and agree to CNB's Mutual Agreement for Arbitration of Disputes and I will resolve any disputes concerning my employment pursuant to its terms. I understand that if I have questions about the Mutual Agreement for Arbitration of Disputes I should reach out to my Human Resources Business Partner.

...

Selecting “I Acknowledge” below

constitutes my electronic signature, acknowledgment, and agreement to all of the above.

(Gutierrez,
Jr., Decl., Ex. C.)

Defendants provide evidence that

Plaintiff completed this training five different times on September 25, 2020, October 8, 2021, June 21, 2022, August 18, 2023, and October 9, 2024. (Id., ¶ 6, Ex. A.) Defendant CNB’s Compliance Officer-Training, Alfredo Gutierrez, Jr. attests that “To complete the course, colleagues must electronically complete the acknowledgment by clicking an on screen ‘radio’ button.” (Id., ¶ 7.) Plaintiff himself admits that he completed these Code of Conduct trainings throughout his employment. (Sanchez Decl., ¶¶ 6-8.) Defendants meet their initial burden.

Plaintiff

raises two primary arguments as to why no valid agreement was formed.

First,

Plaintiff argues that his mere “click” on the “Acknowledge” button did not manifest assent to the agreement because the on-screen text was tied to a different purpose. Plaintiff also argues that no contract was formed because the one “click” on the “Acknowledge” button applied to four different agreements included on the same page. Plaintiff cites *Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280 (Herzog), arguing that the case is dispositive of the issues presented here; Plaintiff contends that the instant record shows even less assent to contractual terms as compared to the assent at issue in *Herzog*.

The

Court disagrees and finds *Herzog* distinguishable from the instant matter. In *Herzog*, a plaintiff clicked on a box labeled “I agree to Terms of Use” at the end of a “clickwrap” agreement when installing a mobile application that connected to a medical device. (Herzog, *supra*, 101 Cal.App.5th at p. 1285) The Terms of Use contained a hyperlink to a page with various contractual terms, including an arbitration agreement. (Id., at p. 1290.) The appellate court found that plaintiff did not manifest assent to arbitrate claims arising from the use of the medical device because the Terms

of Use explicitly told the user that clicking the “I agree” box was an agreement to collect, use, and share the user’s information. (Id., at p. 1298-1299.) Further, the acknowledgment screen did not reference an arbitration agreement at all—instead, the user would need to click the Term of Use hyperlink and sift through 22 pages of terms to find it. (Id., at p. 1301.) Given these facts, the appellate court reasoned that there was no reasonably conspicuous notice of the arbitration agreement, and no unambiguous manifestation of assent. (Id., at p. 1305)

The record before the Court is markedly different. Here, Plaintiff was presented an acknowledgment screen that clearly indicated the existence of the arbitration agreement, directed the employee to read it, and made the employee confirm “that [they] have read and agree to CNB’s Mutual Agreement for Arbitration of Disputes and [they] will resolve any disputes concerning [their] employment pursuant to its terms.” The page contained a clear hyperlink titled “Mutual Agreement for Arbitration of Disputes” that led to a separate 5-page arbitration agreement. These circumstances show reasonably conspicuous notice. A reasonably prudent user, after reading this text, would be put on notice of the arbitration agreement. In addition, the Acknowledgment button was located beneath an unambiguous statement: “Selecting ‘I Acknowledge’ below constitutes my electronic signature, acknowledgment, and agreement to all of the above.” Plaintiff manifested assent to the agreement.

Second, Plaintiff argues that Defendants cannot authenticate Plaintiff’s electronic act. Plaintiff contends that Defendants’ proof—the Gutierrez declaration and the completion log—does not establish that Plaintiff himself clicked the button. The Court disagrees and finds that Defendants properly authenticated the agreement. “[A]n electronic signature is attributable to a person if it is the act of the person.” (Fabian v. Renovate America, Inc. (2019) 42 Cal.App.5th 1062, 1067.) “ [T]he burden of authenticating an electronic signature is not great.” (Ibid.) “The party seeking authentication may carry its burden ‘in any manner,’ including by presenting evidence of the contents of the contract in question and the circumstances surrounding the contract’s execution.” (Id. at p. 1068.) A defendant may establish the authenticity of an electronic signature “by explaining the process used to verify the signature” (ibid.) or showing the “security precautions regarding transmission and use of an applicant’s unique username and password, as well as the steps an applicant would have to take to place his or her name

on the signature line.” (Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1062.)

Gutierrez attests in detail to his personal knowledge of “CNB’s policies and procedures with regard to scheduling of required colleague computer-based training, managing the content thereof, tracking of completion, and maintenance of business records documenting completion of all required compliance training.” (Gutierrez, Jr., Decl., ¶ 2.) He states he “personally downloaded [the CNB training history database] from CNB’s Learning Management System.” (Id., ¶ 6.) He further testifies that Plaintiff would need to access and complete the training through his unique identification and password, which is kept confidential and ensures secure access. (Id., ¶ 5.) This is sufficient to authenticate the agreement. The Court also notes that training records, which show Plaintiff’s completion of the training and acknowledgment form on five separate occasions, weigh in favor of a finding that the electronic act was the act of Plaintiff.

Because the Court finds that Plaintiff’s electronic act constitutes valid assent to the arbitration agreement, the Court need not and does not analyze whether Plaintiff’s continued employment with CNB constitutes implied assent.

Unconscionability

Plaintiff argues the agreement is unconscionable. “Both procedural and substantive unconscionability must be shown for the defense to be established, but ‘they need not be present in the same degree.’ ” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 125 (OTO).) “The burden of proving unconscionability rests upon the party asserting it.” (Id. at p. 126.)

Plaintiff shows no substantive unconscionability. “Substantive unconscionability examines the fairness of a contract’s terms.” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 129.) “ ‘[T]he unconscionability doctrine is concerned not with “a simple old-fashioned bad bargain” [citation], but with terms that are “unreasonably favorable to the more powerful party.” ’ ” (Id. at p. 130.)

Plaintiff argues that Defendant CNB’s misconduct in a prior arbitration with a different

employee shows that the arbitration agreement itself is unconscionable. To support this “as-applied” argument, Plaintiff’s counsel describes at length CNB’s participation in a past arbitration in which he represented a different client, Maria Noone. Plaintiff’s counsel attaches upwards of 30 exhibits of various pleadings, orders, and communications from the Noone matter to demonstrate unconscionability in the proceedings. This argument is unavailing. The Court’s inquiry into substantive unconscionability examines the agreement’s terms, not Defendant’s compliance, or noncompliance, with said terms.

Plaintiff also vaguely references a carve-out provision that allows an employer to bring injunctive claims, a confidentiality provision, and a provision requiring an employee to pay initiation costs as unconscionable features of the agreement.

First, the Court cannot find any specific confidentiality provision in the arbitration agreement, nor does Plaintiff point to one. As such, the Court will not address it here.

Second, the injunctive relief provision is not unconscionable. It states: “Claims excluded are any claims by either party (meaning me or CNB) for temporary restraining orders and/or preliminary injunctions where such temporary equitable relief would otherwise be authorized by law.” (Gutierrez, Jr., Decl., Ex. F, at p. 1.) The agreement explicitly states that it does not cover “any claims by either party (meaning me or CNB).” (Ibid., emphasis added.) Allowing both parties to seek provisional injunctive relief in court is not substantively unconscionable. It is mutual.

Lastly, the cost provision included in the agreement is not unconscionable. “[W]hen an employer imposes mandatory arbitration as a condition of employment, the arbitration agreement or arbitration process cannot generally require the employee to bear any type of expense that the employee would not be required to bear if he or she were free to bring the action in court.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 110-111.) Plaintiff would incur, and did incur, a filing fee by bringing this action in state court. Under Armendariz, requiring this filing fee to initiate arbitration is proper.

Because Plaintiff does not meet his burden in showing the agreement is substantively

unconscionable, the Court need not
and does not address whether the agreement is procedurally unconscionable. (See
Crippen v. Central Valley RV Outlet (2004) 124 Cal.App.4th
1159, 1167 [finding no procedural unconscionability and therefore not
addressing substantive unconscionability].)

Disposition

Defendants City National Bank, Royal Bank of
Canada, and Paul Woodmansee's motion to compel arbitration is granted.

Plaintiff is ordered to arbitrate this
action against Defendants. The Court hereby stays the entire action
pending resolution of the arbitration proceeding.

Defendants City National Bank, Royal Bank of
Canada, and Paul Woodmansee's motion for stay of proceedings set for hearing on
August 7, 2026 is hereby advanced to this date and vacated.

Plaintiff Philip Sanchez's four motions to
compel discovery responses set for hearing on August 20, 2026, September 28,
2026, and September 29, 2026 are hereby advanced to this date and vacated.